Table 71.1 Identification Guidelines

Characteristic	**Discussion**
Appearance	Looks like an inverted V. Price makes a sharp rise and turns lower.
Rise	Price climbs at least 15% to the top of the V.
Volume	Downward but the trend is close to random.
Breakout direction, confirmation	Breakout is downward when price retraces at least 38.2% of the prior rise. A downward breakout confirms the pattern as valid.
Duration	At least 14 days long with a maximum of 3 months.

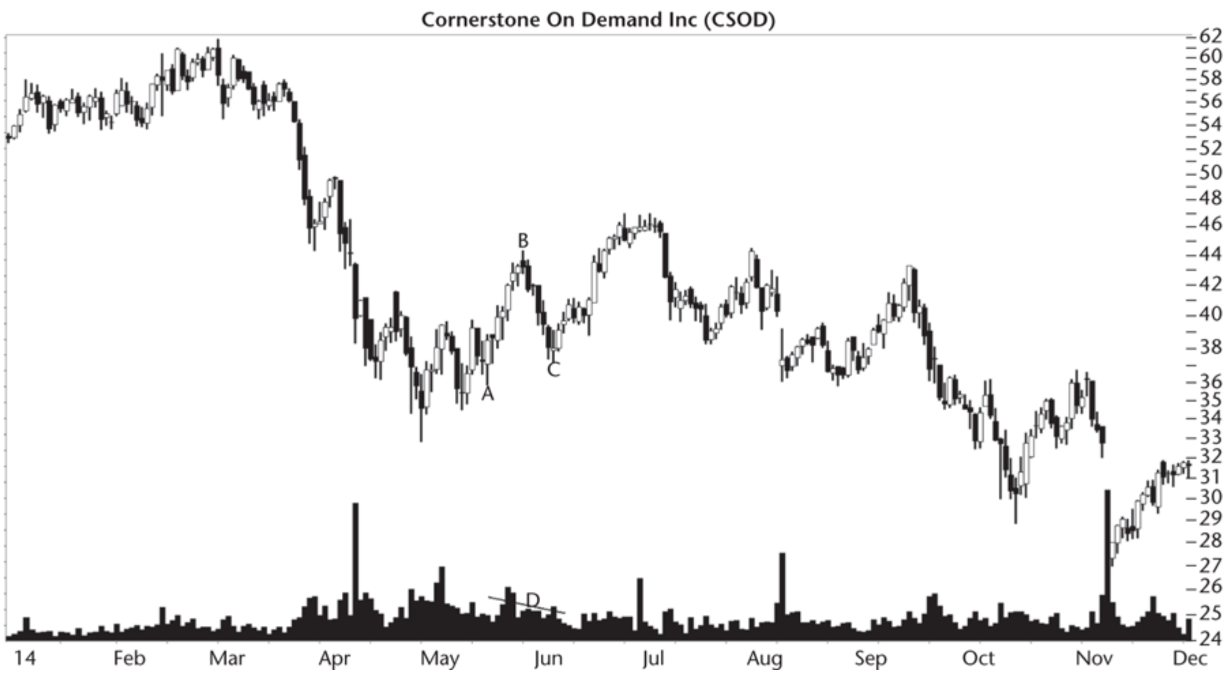

Figure 71.2 This V-top does not see price return to the launch price.

Rise. To qualify and keep the sample count reasonable, I require a climb of at least 15% to the peak of the V-top from the launch price. In the figure, that means I measured the rise from A to B as a percentage of A. In this example, price rises 24% from 35.87 to 44.37 (low to high).

Volume. Volume trends lower from the start of the pattern to the end, but Table 71.6 will show that the numbers are close to random. Don't discard a pattern because of an unusual volume trend.